

of the unpaid principal for the noteholders and 82¹/₂% of the principal of the 5% bondholders, payable in 3% New York City bonds (Corporate Stock). In our view the ample collateral behind the notes entitled them to repayment at par. Nevertheless, the buyer of the 7s in 1933 would have fared substantially better than a purchaser of the 5s at the same price. Assuming payment in New York City bonds worth par, the total received by the noteholders, including interest, would be about \$1,340 per \$1,000 note against about \$1,125 per 5% bond.

Paramount Pictures paid \$12 of accumulated dividends on the First Preferred in December 1936. It has continued to pay dividends regularly on that issue since, but paid no dividends on the common until 1939. Early in 1937 both the First Preferred and common enjoyed a substantial rise in price, but later in the year the Preferred sold at a substantial premium over the common—a condition that has generally prevailed since then.

NOTE 3

“CHEAP STOCKS” vs. “DEAR STOCKS”

An effort was made in 1936 and 1938 under the direction of the authors to test the relative performance of stocks selling at a high multiple of the previous year's earnings and those selling at a low multiple of such earnings. Eight separate studies were made, as of March 1 in each year from 1924 through 1931. All the industrial shares listed on the New York Stock Exchange were arranged in order of the ratio of the March 1 price to the previous year's earnings. (Companies with fiscal years not ending on December 31 and those earning less than \$1 per share in the previous year were excluded.) Of the remaining companies the top and bottom quartiles were then taken for subsequent comparison. On the average, the top quartile sold originally about three times as high in relation to earnings as did the bottom quartile.

The factors studied included later changes in market price and the ensuing record of earnings and dividend payments. We sought to determine whether the buyer of the high-multiple (“dear”) or low-multiple (“cheap”) stocks would fare better with respect to (1) future price changes plus dividend receipts and (2) future earnings in relation to price paid. Tests were made as of March 1 of each year following the initial date selected.

To save space the detailed results of our study are not given here. On the whole they are inconclusive, in that they do not point to a consistent advantage enjoyed by one group or the other. Such inferences as can be drawn favor the stocks selling at the low multiple of the previous year's earnings. Although the dear stocks later improved their earnings and dividends as against the cheaper